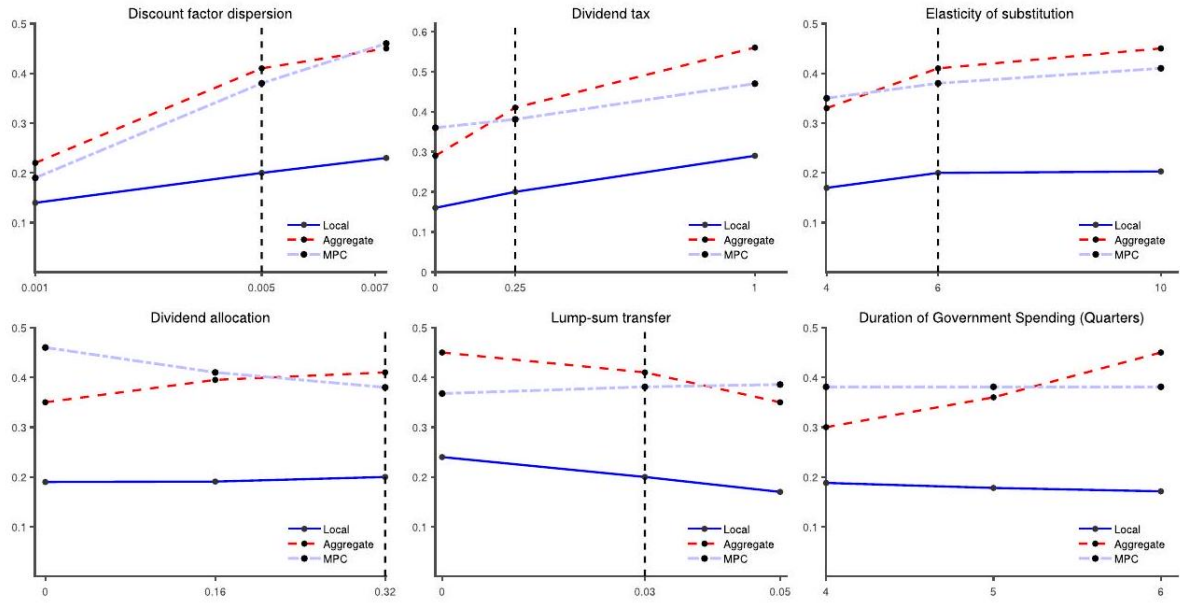




Sensitivity analysis: MPC, local, and aggregate multiplier

Notes: We vary a parameter away from its benchmark value and explore how the MPCs and the multipliers respond. The vertical dashed line shows the benchmark value for the parameter. For the duration of government spending case, government spending equals the initial benchmark amount for a given number of quarters and then is set to zero. We do not recalibrate the other parameters to hit the benchmark targets.